the bad performers in a data set makes the average fund look that much better.

As we shall see, the same is true for collectible artwork, fine wine, automobiles, toys or other alternative asset classes.[141] Which raises a fascinating question:

What if everything is survivorship bias?

Survivorship bias colors nearly *everything* we do.

The successful products we use every day are the result of many trials and errors; initial attempts that failed and subsequent improvements that were made. The iterative process consists of repeated efforts hidden from view. You don't think about all the little widgets that make up your favorite products, or how each has gotten better over time. Your mobile phone, refrigerator, car, house, sneakers, pencil—every product you use goes through this process. The fascinating aspect of this is how truly hidden it is.

Book publishing is instructive: Each year, the *New York Times* bestsellers list totals about 100 books. But consider the long odds each book faced: US publishers release almost 300,000 books per year. Add in self-published books and you triple that number (900,000 total). That is just in the US. Expand your geography to include the entire world and the number rises to 2.1 million books. This is to say nothing of rejected manuscripts, unpublished works, and endless half-finished books that never see the light of day. The probability that an attempt at writing a book that will make it to the bestseller list is incredibly daunting.

Rerun this exercise for apps, Broadway plays, tech start-ups, restaurants, video games—anything people create. Successful products are all built upon two distinct unseen failures: A hidden graveyard of competitive products that didn't make it, and another containing all of the earlier drafts, edits, iterations, and versions of products *before* they succeeded.

Our frame of reference is *success*: That hot restaurant, an Academy Award-winning movie, this bestselling book, that successful small business, a